

PENNY PINCHING TRIVIA

Legal Clearance Intake Package for Gaming / Gambling Counsel

Prepared for outside counsel review · Not for publication or public distribution

2026-07-22

This document is a business-side summary prepared without a lawyer's involvement. It is not legal advice, and nothing in it should be treated as a legal conclusion. Every determination below is intentionally left blank for counsel to complete.

This package summarizes the current product design, the compliance controls already built into the platform, and the specific open legal questions that need a licensed gaming/gambling attorney's written answer before real players and real money go live. It is meant to be the starting point for an engagement, not a substitute for one.

1. What This Product Is

Penny Pinching Trivia is a real-money, pay-per-round trivia contest. In plain terms:

- A player buys tokens with real money (Stripe Checkout), which fund an in-app wallet.
- Each scheduled contest ("game") runs up to 100 sequential rounds. Entering each round costs tokens (a "micro-debit" per round, not a single flat entry fee) — the cost typically escalates as the game progresses.
- Each round is a single multiple-choice trivia question under a short server-enforced timer (currently 12 seconds).
- Buy-ins fund a shared prize pool for that game; a defined split (currently 60% to the prize pool / 40% retained by the platform) determines how much of each token spent becomes prize money.
- If the game reaches its final round with tied leaders, a live "Sudden Death Overtime" tiebreaker decides the winner(s) among the tied finalists only; other players become spectators.
- A "streak" mechanic ("3 the hard way") credits a bonus if a player answers three rounds correctly in a row.
- Winners are paid out of the prize pool at the end of the game; players may also withdraw their wallet's cash balance at any time, subject to identity verification (see §2).
- Token bundles include bonus tokens beyond the dollar amount paid (e.g., \$10 purchased grants 1,400 tokens — 1,000 "cash" tokens plus 400 "bonus" tokens). Bonus tokens can be played but not withdrawn; only the cash-funded portion of a player's balance is withdrawable.

This is the same basic legal shape as daily fantasy sports (DFS) platforms and "skill game" head-to-head wagering apps: a pay-to-enter contest with a cash prize, where the operator's position is that outcomes are skill-predominant rather than chance-based. That position does not resolve itself — it is the central question this package asks counsel to evaluate.

2. Compliance Controls Already Built (Engineering Status)

The items below describe what exists in the product today. None of this is a legal conclusion that these controls are sufficient — counsel should tell us what additional controls, thresholds, or disclosures are legally required, and where the list below falls short.

Control	Status	Description
Geofencing enforcement	Built	Every real-money purchase (buy_round) checks an admin-editable allowed_states list at the database layer; a client cannot bypass it. Device location is re-verified on each game screen, not just at signup.
Anti-spoof location verification	Partial — vendor key needed	Server can validate a signed, anti-spoofed location token (Radar) instead of a self-declared state; the vendor key/SDK is not yet installed, so location is currently self-declared by the player.
Identity verification (KYC) gate	Built	Withdrawals are blocked until a player's identity is verified and age 18+ is confirmed. Deposits and gameplay do not require KYC — only cash-out does.
Admin state allow/block list	Built	Staff can turn states on or off with no app release, from the internal Command Center tool.
Cash vs. bonus wallet split	Built	Promotional/bonus tokens are tracked separately from cash paid in; only the cash-funded balance is withdrawable, and only the cash portion funds the prize pool.

Control	Status	Description
Tax detail / withholding gate	Partial	Lifetime winnings are tracked per player and withdrawals lock at \$550 pending confirmed tax details. Actual W-9 collection and 1099 filing are not yet wired to a tax vendor.
Audit trail	Built	Every deposit, withdrawal, and staff action is written to an immutable ledger / admin log.
Self-exclusion / spend limits	Not built	Players cannot yet set their own deposit or play limits, or request a cooling-off / self-exclusion period.
No-purchase-necessary entry	Not built	There is currently no free/no-purchase alternate method of entry — every round costs tokens.

3. Specific Questions Requiring Counsel's Written Answer

Please provide a written answer (or "requires further research, follow up by [date]") for each item below. Citations to the specific statute or regulation relied upon are appreciated but not required for a first-pass answer.

3.1 Entity structure & licensing

Does operating this contest require a money transmitter license (state-by-state) for holding player funds between deposit and payout? We currently use Stripe Connect for payouts — does that change or eliminate this requirement?

Counsel's determination:

3.2 State-by-state legality

Which US states currently permit a pay-to-enter, cash-prize, skill-predominant contest of this exact structure (escalating per-round micro-entry, live tiebreaker, streak bonus), and which prohibit it outright? See the full 50-state worksheet in §4.

Counsel's determination:

3.3 No-purchase-necessary alternate entry

Is a free/no-purchase alternate method of entry legally required for this contest structure in any of our target states? The product currently has no free entry path — every round costs tokens.

Counsel's determination:

3.4 Prize registration / bonding thresholds

Do any target states require registering the contest or posting a bond once the prize pool (or a single game's prize pool) crosses a dollar threshold? If so, which states and what thresholds?

Counsel's determination:

3.5 AML / KYC obligations

Stripe performs its own KYC on connected payout accounts. Does the platform have independent AML/KYC obligations at the point of withdrawal, at signup, or at a deposit/spend threshold? Are there Suspicious Activity Reporting (SAR/FinCEN) obligations on the platform itself, or does that rest entirely with Stripe as money transmitter of record?

Counsel's determination:

3.6 Tax reporting

Which IRS form applies to winnings paid by this platform — 1099-MISC, 1099-K, or another — given the platform's role as either payor of winnings or a payment intermediary? We currently lock withdrawals at \$550 in lifetime winnings pending confirmed tax details; is that the right threshold and mechanism?

Counsel's determination:

3.7 Age & location verification standard

Is self-attested "18+" and self-declared location (as opposed to enforced, vendor-verified identity and geolocation) legally sufficient at any stage of play, or does real-money play need to be gated behind verified checks from the first deposit rather than only at withdrawal?

Counsel's determination:

3.8 Payment processor approval

Stripe's Restricted Businesses policy lists gambling, and in some cases skill-based cash contests, as requiring pre-approval or being prohibited outright depending on jurisdiction and structure. Should we obtain explicit written confirmation from Stripe before scaling volume, and/or should we engage a specialty gaming payments processor instead?

Counsel's determination:

3.9 Responsible-play requirements

Are player-facing responsible-gaming tools — self-service spend limits, self-exclusion/cooling-off requests, a problem-gambling resource link (e.g., National Council on Problem Gambling) — legally required for this product in our target states, or best-practice only? None of this is built yet.

Counsel's determination:

4. State-by-State Worksheet

The "current status" column reflects an internal engineering default, not a legal determination — it was set from general knowledge of DFS/skill-contest law patterns, not a statutory review. The right two columns are for counsel to complete. All 50 states are listed; none should be read as pre-cleared.

State	Current status (engineering default)	Counsel's determination	Notes / conditions
Alabama (AL)	Currently enabled		
Alaska (AK)	Currently enabled		
Arizona (AZ)	Currently blocked (flagged higher-risk)		
Arkansas (AR)	Currently blocked (flagged higher-risk)		
California (CA)	Currently enabled		
Colorado (CO)	Currently enabled		
Connecticut (CT)	Currently blocked (flagged higher-risk)		
Delaware (DE)	Currently blocked (flagged higher-risk)		
Florida (FL)	Currently blocked (flagged higher-risk)		
Georgia (GA)	Currently enabled		
Hawaii (HI)	Currently blocked (flagged higher-risk)		
Idaho (ID)	Currently blocked (flagged higher-risk)		
Illinois (IL)	Currently blocked (flagged higher-risk)		
Indiana (IN)	Currently enabled		
Iowa (IA)	Currently blocked (flagged higher-risk)		
Kansas (KS)	Currently enabled		
Kentucky (KY)	Currently enabled		
Louisiana (LA)	Currently blocked (flagged higher-risk)		
Maine (ME)	Currently enabled		
Maryland (MD)	Currently blocked (flagged higher-risk)		
Massachusetts (MA)	Currently enabled		
Michigan (MI)	Currently blocked		

State	Current status (engineering default)	Counsel's determination	Notes / conditions
	(flagged higher-risk)		
Minnesota (MN)	Currently enabled		
Mississippi (MS)	Currently enabled		
Missouri (MO)	Currently enabled		
Montana (MT)	Currently blocked (flagged higher-risk)		
Nebraska (NE)	Currently enabled		
Nevada (NV)	Currently blocked (flagged higher-risk)		
New Hampshire (NH)	Currently enabled		
New Jersey (NJ)	Currently enabled		
New Mexico (NM)	Currently enabled		
New York (NY)	Currently blocked (flagged higher-risk)		
North Carolina (NC)	Currently enabled		
North Dakota (ND)	Currently blocked (flagged higher-risk)		
Ohio (OH)	Currently enabled		
Oklahoma (OK)	Currently enabled		
Oregon (OR)	Currently enabled		
Pennsylvania (PA)	Currently enabled		
Rhode Island (RI)	Currently blocked (flagged higher-risk)		
South Carolina (SC)	Currently blocked (flagged higher-risk)		
South Dakota (SD)	Currently blocked (flagged higher-risk)		
Tennessee (TN)	Currently blocked (flagged higher-risk)		
Texas (TX)	Currently enabled		
Utah (UT)	Currently enabled		
Vermont (VT)	Currently blocked (flagged higher-risk)		
Virginia (VA)	Currently enabled		
Washington (WA)	Currently blocked (flagged higher-risk)		

State	Current status (engineering default)	Counsel's determination	Notes / conditions
West Virginia (WV)	Currently enabled		
Wisconsin (WI)	Currently enabled		
Wyoming (WY)	Currently enabled		

5. Draft Documents for Counsel Review

The following documents exist as internal drafts only, are marked "DRAFT — not for publication" in-product, and must not be published or relied upon until counsel has reviewed and revised them:

- Terms of Service (draft) — eligibility, token/wallet mechanics, scoring, payouts, dispute process.
- Official Rules (draft) — contest/prize disclosure: odds, prize structure, "void where prohibited" language.
- Privacy Policy (draft) — account, payment, and gameplay data collection and use.

Each draft contains inline "[COUNSEL: ...]" markers at every placeholder, jurisdiction-specific number, or open question — these are provided as separate attachments alongside this package.

6. Sign-Off

This package was prepared internally and has not been reviewed by an attorney. No real payments, real payouts, or public launch should proceed until the questions in §3 have been answered in writing and the documents in §5 have been revised and approved by counsel.

Reviewing attorney (print name): _____

Firm: _____

Signature / Date: _____